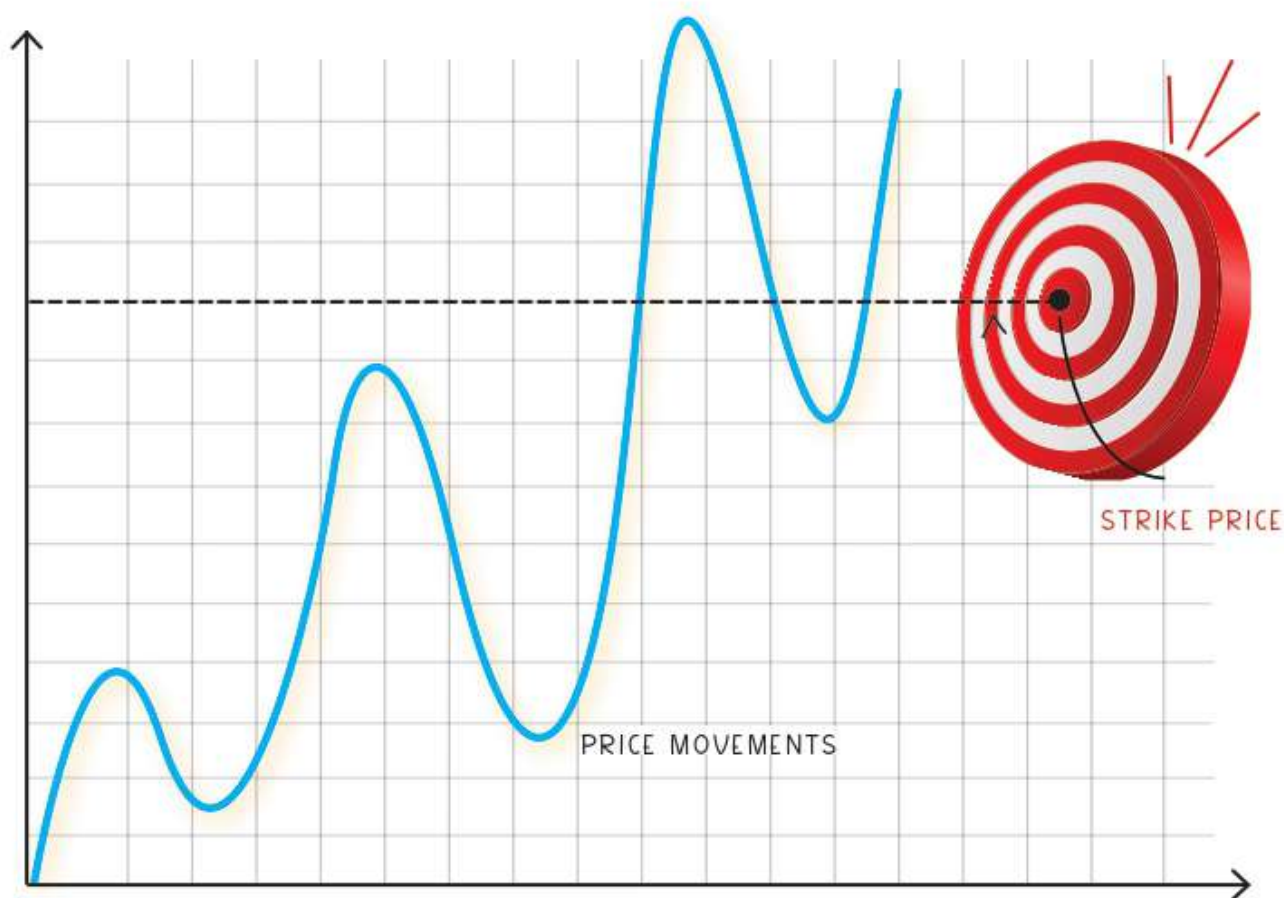


For example, let's say it gives the buyer the right to buy an asset for ₹110 on expiry. Now if on expiry the price is ₹115, the buyer of the option can exercise it and still buy the asset at ₹110 and profit by ₹5. If the market price on expiry is ₹100, then they can let the option expire and not exercise the same. We will see how this works exactly in this chapter.



An important thing to note here is that Option Contracts, as the name suggests, give an option to buy or sell the underlying asset. The buyer of the contract may or may not exercise this right to buy or sell the underlying asset even at the date of expiry of the contract.

Option contracts are created around different strike prices. **Strike Price** refers to the price at which, as per the contract, the asset can be bought or sold on expiry. In the previous example, the strike price was Rs. 110. Strike price is extremely important to understand options as it changes the entire strategy, price of option and its pay-off.



Do not get overwhelmed if you do not understand options right away. It takes time to understand the same. By the end of this chapter, you will understand them and how they work in great detail.